EXECUTIVE SUMMARY

A. Introduction

Tuguegarao City was originally created on May 1604 as a "mission pueblo". No record is available establishing the law creating the Municipality. However, Cagayan's first City was created by Republic Act No. 8755, "An Act converting the Municipality of Tuguegarao, Cagayan Province into a component City to be known as Tuguegarao City." R.A. No. 8755 was approved on November 4, 1999 and ratified on December 18, 1999.

The audit covered the accounts and operations of the City Government of Tuguegarao for the year 2019 and was aimed at determining whether management presented fairly the financial statements of the City in adherence to the generally accepted accounting principles; whether prevailing laws, rules and regulations have been complied with; and funds were utilized in the most efficient, effective and economical manner. Financial and compliance audits were conducted to achieve these audit objectives.

The audit was focused on the different audit thrusts/areas issued by the Local Government Sector of the Commission.

B. Financial Highlights

The financial condition, results of operation, appropriations, allotments and obligations of the City Government of Tuguegarao for the year ended December 31, 2019, with comparative figures for CY 2018, are presented below:

	2019	2018	Increase / (Decrease)
Financial Condition			
Assets	P3,427,482,941.10	P3,727,800,190.68	P(300,317,249.58)
Liabilities	452,785,418.79	416,256,447.60	36,528,971.19
Net Assets/ Equity	2,974,697,522.31	3,311,543,743.08	(336,846,220.77)
Results of Operation			
Income	P1,048,262,291.06	P 947,752,963.95	P100,509,327.11
Expenses	871,651,720.20	758,260,201.89	113,391,518.31
Net Income	176,610,570.86	189,492,762.06	(12,882,191.20)
Appropriations, Allotments and Obligations			
Appropriations - Current	P1,702,336,084.00	P 1,186,942,633.00	P515,393,451.00
Appropriation - Continuing	0.00	0.00	0.00
Allotments - Current	1,702,336,084.00	1,186,942,633.00	515,393,451.00
Allotments – Continuing	302,001,098.26	304,280,414.50	(2,279,316.24)
Obligations - Current	944,487,130.13	940,587,798.79	3,899,331.34
Obligations - Continuing	143,504,522.61	145,643,453.77	(2,138,931.16

The funds received by the LGU and the funds transferred to other agencies and non-government and people's organization for CY 2019 with comparative figures for CY 2018 are shown below:

	2019	2018	Increase / (Decrease)
Funds Received from Other Agencies:			
Due to NGAs	P13,988,297.43	P 124,223,758.55	P(110,235,461.12)
Due to LGUs	9,200,000.00	0.00	9,200,000.00
Due to GOCCs	15,900,331.17	967,050.00	14,933,281.17
Funds Transferred to Other Agencies:			
Due from NGAs	P 476,713.27	P 0.00	P 476,713.27
Due from LGUs	2,950,000.00	1,472,750.00	1,477,250.00
Due from GOCCs	0.00	0.00	0.00
Due from NGOs/POs	7,904,608.00	19,040,000.00	(13,134,392.00)

C. Independent Auditor's Report on the Financial Statements

The Auditor rendered a qualified opinion on the fairness of the presentation of the financial statements as of December 31, 2019 of the Tuguegarao City, Cagayan due to the effects of the noted deficiencies on the balances of some accounts, as summarized in the succeeding paragraphs and as discussed in detail in part II of the Report.

D. Summary of Significant Findings and Recommendations

1. **Accounting and reporting guidelines on local roads asset management embodied in COA Circular No. 2015-008 were not strictly observed by the concerned departments, thus the correctness of the balance of Road Networks Account of ₱236,707,726.01 could not be ascertained.**

   We recommended that the Local Chief Executive enjoin the concerned departments to strictly follow and implement the provisions contained in the Circular to fairly present the book value of the Road Networks Account in the Financial Statements of the City Government. Moreover, the City Accountant should draw the appropriate journal entry to correct the identified item with a negative balance and to remove the cost of repairs and maintenance included in the Road Network Account.

2. **The correctness, accuracy and existence of the recorded Property, Plant and Equipment (PPE) Accounts, with a total cost of ₱2,411,094,530.22 could not be ascertained due to Management's failure to conduct complete physical inventory of its PPE, which is not in accord with Section 124 of Volume I of the Manual on New Government Accounting System for Local Government Units.**

We recommended that the Local Chief Executive require the Inventory Committee to conduct physical inventory of all the PPE of the LGU and thereafter, prepare an inventory report, i.e. the RPCPPE, a copy of which should be submitted to the Office of the Auditor. The inventory report shall be reconciled with the PPE records or ledgers maintained at the Accounting Office and any discrepancy/ies should be adjusted.

3. **Various infrastructure asset accounts, which are carried in the Statement of Financial Position costing P512,148,842.91, were not provided with an allowance for depreciation, thus these asset accounts were not presented in the financial statements at its net book value. Consequently, the surplus/net income is overstated by an amount equivalent to the depreciation expense that should have been set up for these assets.**

   We recommended that the City Accountant compute the depreciation expense on its infrastructure assets and draw the necessary journal entry to recognize the allowance for depreciation in the books. This is to ensure that these assets are fairly presented in the financial statements.

4. **Various payable accounts in the General Fund has an abnormal balance of (P20,796,233.66) casting doubts on the accuracy and the validity of the account balance presented in the Statement of Financial Position.**

   Moreover, schedules for these payable accounts showed that there were various reconciling items totalling to (P2,400,240.59), thus, further compromising the accuracy of the balances of said payable accounts.

   As this cannot be addressed by simply drawing a journal entry to reverse the debit balances of some payees, we recommended that the Local Chief Executive require the City Accountant and concerned heads of other offices to conduct a thorough analysis in order to determine the root cause of this irregularity. From this, the necessary courses of action should be devised to correct the abnormal balances and the various reconciling items noted.

   We further recommended that the Accounting staff responsible in the recording of transactions, determine whether the payable account was credited to recognize the liability of the City prior to the debiting of the appropriate subsidiary payable account. Management should also ensure that the amount paid to the payees is equal to the amount of payable initially set up for the purpose.

5. **Payments of contract progress billings for infrastructure projects did not require the Results of Test Analysis (Materials Quality Test/Materials Test Results) to be submitted to support claims contrary to Item 9.1.1 of COA**

Circular No. 2012-001 dated June 14, 2012, thus, the quality of materials delivered and used in the construction is not assured.

We recommended Management to ensure that all payments of contract billings for infrastructure projects are supported with the Results of Test Analysis or Certificate of Materials Quality Test or Material Test Results to assure quality of materials used in the project, in addition to the documentary requirements prescribed under Item 9.1 of COA Circular No. 2012-001.

6. **Of the programs and projects planned and funded out of the 20% Development Fund for CY 2019, the Installation of Streetlights Along Luna Street and Upgrading/Improvement/Rehabilitation of Slaughterhouse projects were not implemented and three (3) other projects were not yet completed as of year-end, hence, social, economic and environmental benefits and services due to the City's constituents were delayed.**

   We recommended that Management shall ensure all its identified programs and projects are implemented as scheduled so that the benefits derived therefrom are timely enjoyed by constituents.

7. **The available appropriation for the 70% Mitigation Fund of the Local Disaster Risk Reduction and Management Fund (LDRRMF) totaling ₱72,050,302.65, was not fully maximized, with only ₱22,450,432.38 or 31.16% of utilization, thereby, leaving an unutilized balance of ₱49,599,870.27, hence, the fund remained idle and the purposes for which it was intended were not fully achieved.**

   We recommended that the City DRRM Officer and other concerned implementing offices: (a) fully utilize the fund and implement all budgeted projects, programs and activities; (b) include in the LDRRMFIP the activities to be funded from the unexpended QRF and DRRMF-MOOE of the previous years, which were transferred to the Special Trust Fund; and (c) re-evaluate the previously planned PPAs for DRRM and determine the need for re-programming in order to better address the current needs of the City for disaster risk reduction and management.

8. **Some motor vehicles of the LGU were not marked "For Official Use Only" while some do not yet bear government plate, hence, defeating the purpose as set forth under COA Circular No. 77-61, on the control and proper use of government service vehicles.**

   We recommended that the Local Chief Executive require the head of the General Services Office (GSO) to mark government motor vehicles "For Official Use Only" and to acquire government plates for all motor vehicles of the LGU in compliance with the provisions of COA Circular No. 77-61, to ensure the effective conservation of energy and proper utilization of government motor transportation.

9. **The completed sanitary landfill (SLF) cell as provided in the Updated 10-Year Ecological Solid Waste Management Plan, is not yet operational, thus, the expected benefits that could be derived from the project was not realized.**

   We recommended that the City Government use and operate the landfill cell to comply with the requirement of Republic Act No. 9003, otherwise known as Ecological Solid Waste Management Act of 2000.

10. **The City Government could have generated more revenues for its sustainable development had the Tuguegarao City Commercial Center (Mall of the Valley) building been completed and leased out.**

    We recommended that the City Government endeavor to look for a private developer partner to finish the construction of the Tuguegarao City Commercial Center and to lease out the commercial space to a qualified leasee to protect the interest of the City Government.

E. Summary of Total Suspensions, Disallowances and Charges as of Year-End

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	P 264,789.14	P 0.00	P 0.00	P 264,789.14	0.00%
Current Year	0.00	0.00	0.00	0.00	0.00%
Total	P 264,789.14	P 0.00	P 0.00	P 264,789.14	0.00%
Disallowances					
Prior Years	P15,498,560.86	P 0.00	P 525,726.14	P14,972,834.72	3.39%
Current Year	0.00	0.00	0.00	0.00	0.00%
Total	P15,498,560.86	P 0.00	P 525,726.14	P14,972,834.72	3.39%
Charges					
Prior Years	P 0.00	P 0.00	P 0.00	P 0.00	0.00%
Current Year	0.00	0.00	0.00	0.00	0.00%
Total	P 0.00	P 0.00	P 0.00	P 0.00	0.00%

Disallowances totaling ₱13,358,351.36 are on appeal.

F. Status of Implementation of Prior Year's Audit Recommendations

Of the thirty-three (33) audit recommendations embodied in the CY 2018 Annual Audit Report, thirteen (13) were fully implemented, twelve (12) were partially implemented and eight (8) were not implemented.